

Halqa — Hyper Committee

24 September 2026, revision 5. The daily cadence product in two configurations. Each daily payment splits three ways at source and the parts are never commingled. Each day's payers pay that day's collectors directly, so no party holds a pool. This is the only Halqa document that sets out calculations. Revision 5 corrects the citation for bundled products to regulation 11(1)(d) of the Corporate Insurance Agents Regulations 2020, and adds the partner's rail charge to the cycle economics in section 12, as in the Business Model.

1. The two governing identities

In a rotating committee every member pays a fixed contribution each period and collects the pot exactly once. Total paid in must equal total paid out. That forces two identities:

Identity	Statement	Consequence if broken
1	pot = contribution × number of periods	The circle pays out more than it takes in and requires money from outside, which is the structure a regulator treats as a deposit scheme
2	roster = members collecting each period × number of periods	Members collecting per period is not a whole number, and some periods cannot be funded from that period's payers

Both are asserted in code at creation and a configuration that breaks either is refused. The contribution in identity 1 is the contribution only. The takaful contribution and the service fee sit outside it and do not enter the pot.

2. The three way split

A single daily payment resolves into three destinations at the moment it is taken. The three are separately ledgered, separately reconciled, and never mixed.

Part	Destination	Owner of that money	Purpose
Contribution	The collecting member the payer is assigned to that day, directly from the payer's account	The collecting member	The pot. Satisfies identity 1
Takaful contribution	The participants' risk fund at the licensed operator, in full	The participants, collectively	Cover against default after collection
Service fee	Halqa's own revenue account	Halqa	The committee service: register, collection, identity and recovery. Never a charge for distributing cover

3. Configuration

Parameter	Option 1	Option 2
Cycle length	50 days	26 active days, Sundays excluded
Roster	400 members	390 members
Collecting each day	8	15
Paid each day, total	Rs 450	Rs 500
of which contribution	Rs 300	Rs 333.33
of which takaful	Rs 75	Rs 83.33
of which service fee	Rs 75	Rs 83.33
Pot collected once	Rs 15,000	Rs 8,666.67
Paid in over the cycle	Rs 22,500	Rs 13,000
Identity 1 check	$300 \times 50 = 15,000$	$333.33 \times 26 = 8,666.67$
Identity 2 check	$8 \times 50 = 400$	$15 \times 26 = 390$

Parameter	Option 1	Option 2
Collected each day, contribution only	Rs 120,000	Rs 130,000
Paid out each day	Rs 120,000	Rs 130,000
Cycle value	Rs 6,000,000	Rs 3,380,000
Monthly commitment per member	Rs 13,500	Rs 13,000
Grace after the daily due time	12 hours	12 hours
Concurrent hyper committees per member	1	1

Option 2 uses 390 rather than 400 because 400 does not divide into 26 days. At 390 the roster gives exactly 15 collecting each day and reproduces the Rs 8,666.67 pot precisely.

4. Daily settlement without a pool

Each day, the members who are not collecting are divided among that day's collectors, and each pays one collector directly. The collector's own contribution is set off against their pot.

Quantity	Option 1	Option 2
Paying each day	392	375
Collectors each day	8	15
Payers assigned to each collector	$392 \div 8 = 49$	$375 \div 15 = 25$
Received from assigned payers	$49 \times \text{Rs } 300 = \text{Rs } 14,700$	$25 \times \text{Rs } 333.33 = \text{Rs } 8,333.33$
Collector's own contribution, set off	Rs 300	Rs 333.33
Pot	Rs 15,000	Rs 8,666.67

Both configurations divide exactly. Every collector receives the full pot from named members, and no day's money is held by Halqa, by the partner or by anyone else. A payment company "will not act as custodian of consumer's money" (PSO/PSP Rules 2014, rule 6.5); this design never asks one to.

5. The fee

Rule	Reason
The fee is paid to Halqa and to no member	Company revenue charged for a service. The Explanation to section 84 of the Companies Act excludes such a sum from the meaning of a deposit
The fee is for the committee service only	An insurance agent "shall not charge, to the policyholder, any service fee, processing fee, administration charge or any other charge unless such a charge has been included by the insurer in the premium" (Corporate Insurance Agents Regulations 2020, reg 8(3)). The fee is therefore never described as, or priced for, distribution of cover
The fee is flat across the whole roster	A fee graded by collection day is priced on the advance and would read as interest. Grading is therefore not used
Later seats are compensated by Halqa	Points and fee waivers issued from Halqa's own revenue, so no member is compensated by another member
No auction and no bidding	A price discovered between members creates a lender and a borrower. It is removed
No annualised rate is computed	A rate on an advance is the arithmetic of lending. It appears nowhere in the product
The full schedule is published	Every part of the daily payment is stated on the join sheet before commitment

Fee discounts

A member reduces the fee by reducing the risk presented. The largest applicable discount is taken and they do not stack.

Condition	Effect	Basis
Guarantee cheque held on file	80% off the fee	Opens a route under section 489-F of the Penal Code
Income slip and employer verified	50% off the fee	Certain and traceable income

Condition	Effect	Basis
Salary account linked	Mandatory	Required on any roster of members who are strangers. Not a discount

6. Takaful cover

Point	Position
Who writes it	A licensed takaful operator. Candidates are Pak-Qatar Family Takaful and Salaam Takaful
Where the money sits	The participants' risk fund, which belongs to the participants and not to the operator
The premium	Passed to the operator in full. The agent "shall always pay the gross premium to the insurer and shall not retain any part of the insurance premium" (reg 5(4))
Halqa's role	Registered corporate insurance agent, distributing the operator's product
Halqa's income from cover	The operator's commission only, which "must be computed on premiums received by the insurer" (reg 8(2))
Registration required	Corporate insurance agent registration with the Commission. No capital requirement attaches
Why not written in house	Section 5(1) of the Insurance Ordinance admits only a public company, so a private company cannot be registered as an insurer at all
Disclosure of the bundle	The cost of cover is shown apart from the committee, as reg 11(1)(d) requires for a bundled product
Compulsory cover	Cover is a fixed part of every HYPER payment. Whether a compulsory bundle sits within reg 10(c), which bars coercing a prospect to buy cover, is to be confirmed in a written opinion of counsel before HYPER opens

Point	Position
Claims	Paid by the operator directly to the member left short, in that member's own name, as reg 7(4) requires. Halqa supplies the payment record as evidence
Surplus	Distributable to participants at the end of the period
Deficit	Met by an interest-free advance from the operator's shareholder fund, recovered from later surpluses

Fund figures	Option 1	Option 2
Contribution per member per day	Rs 75	Rs 83.33
Contribution per member per cycle	Rs 3,750	Rs 2,166.67
Fund built over the cycle	Rs 1,500,000	Rs 845,000
Default rate the fund covers	50%	50%
Operator's commission to Halqa at 15%	Rs 225,000	Rs 126,750

7. What a seat is worth on the day it collects

A member collecting on day t has by then paid t contributions. The sum received against contributions not yet made is the pot less what has already been paid. This is forward liability.

Collection day, Option 1	Contribution paid by then	Received against future contributions	Days outstanding	Share of the pot
1	Rs 300	Rs 14,700	49	98%
10	Rs 3,000	Rs 12,000	40	80%
25	Rs 7,500	Rs 7,500	25	50%
40	Rs 12,000	Rs 3,000	10	20%
50	Rs 15,000	Rs 0	0	0%

The curve falls in a straight line from day 1 to the final day. On Option 2 the same curve runs from Rs 8,333.33 on day 1 to nil on day 26.

8. The collapse threshold

Result 1. Arrears before collection recover themselves

A member who has missed j contributions by their own collection day receives the pot less j contributions, and those j contributions are paid on that day to the collectors they left short. A member who has missed every day receives nothing. Arrears accrued before collection are therefore recovered in full, from the late member's own pot, to the members who were short.

A member who falls behind before collecting creates a timing gap, not a loss.

Result 2. The only true loss is default after collection

A member who collects on day t and then stops owes one contribution for each remaining day, and there is no pot of theirs left from which to recover it.

Case	Option 1 exposure	Option 2 exposure	Share of the pot
Default after collecting on day 1	Rs 14,700	Rs 8,333.33	98% and 96%
Default after collecting at the midpoint	Rs 7,500	Rs 4,333.33	50%
Default after collecting on the final day	Rs 0	Rs 0	0%
Average across a uniform spread of days	Rs 7,500	Rs 4,333.33	50%

Half a pot is the correct planning figure for each default after collection.

Result 3. Expected loss, and the cover it requires

With roster n and a post-collection default rate p , expected loss on a cycle is $n \times p \times \text{half a pot}$. Expressed as a share of cycle value this simplifies to half the default rate, on either option.

Per day, the cover required is the whole daily margin multiplied by the default rate. On Option 1 that is Rs $150 \times p$, and on Option 2 Rs $166.67 \times p$.

Default rate	Option 1 loss	Option 1 cover per day	Option 2 loss	Option 2 cover per day
1%	Rs 30,000	Rs 1.50	Rs 16,900	Rs 1.67
10%	Rs 300,000	Rs 15.00	Rs 169,000	Rs 16.67
30%	Rs 900,000	Rs 45.00	Rs 507,000	Rs 50.00
50%	Rs 1,500,000	Rs 75.00	Rs 845,000	Rs 83.33
100%	Rs 3,000,000	Rs 150.00	Rs 1,690,000	Rs 166.67

At a default rate of 100 per cent the cover required is exactly the whole daily margin. That is the ceiling on the charge and the reason the margin is set where it is. The selected configuration prices for 50 per cent, which is roughly four times worse than any rate on record.

Result 4. The hard stop

Unrecovered exposure E on day d is the sum of forward liability for every member who has collected and then stopped paying, less anything since recovered. Cover C is the limit written by the operator.

The circle cannot complete once E exceeds C. At that point the pots still owed exceed the contributions still due, and continuing would promise later members money that does not exist. No further day is opened until E is brought back below C, by recovery, by a claim on cover, or by the circle being wound down against published arithmetic. Because no party holds the circle's money, stopping means that no member is instructed to pay the next day's collectors.

Result 5. Daily shortfall

On day d, with k members failing to pay, the collectors those members were assigned to receive k contributions less than their pots between them. Each is repaid on the late member's own collection day, or from cover if that member has already collected and then stops. On Option 1 each missed contribution is Rs 300, so 50 missed payments on one day equal exactly one pot, and a single missed payment is 0.25 per cent of the day.

9. The stress index

A figure between 0 and 100, recomputed at the close of every day and shown to the host. Five axes, each normalised to a range of 0 to 1, then weighted.

Axis	Measure	Weight
Severity	Unrecovered exposure against cover plus one pot	45%
Breadth	Post-collection defaults against the number of pots cover absorbs	20%
Behaviour	Share of the roster carrying a prior late payment	15%
Persistence	Age of outstanding arrears in 12 hour grace periods, capped at 6	10%
Timing	Day reached out of the cycle	10%

Band	Range	Action
Green	0 to 33	Normal operation. Reminders only. Cases tracked
Amber	34 to 66	New joins blocked on this circle. Host notified. Arrears settled first on each collection day. Operator put on notice
Red	67 to 100	Next day not opened. Claim prepared. Restitution arithmetic published to the roster. Circle wound down if not cleared within two days
Hard stop	any	Applies regardless of the index whenever unrecovered exposure exceeds cover

Worked path of an Option 1 circle under stress

Cover set at 8 pots, Rs 120,000, which is one day of outflow.

Day	Defaults after collection	Unrecovered exposure	Index	Band	Action
5	0	Rs 0	1.2	Green	Normal operation, reminders only
12	1	Rs 14,100	11.8	Green	Normal operation, case tracked
20	3	Rs 37,800	28.6	Green	Host notified, operator put on notice
30	6	Rs 64,800	49.5	Amber	New joins blocked, arrears settled first
38	9	Rs 81,000	64.0	Amber	Claim prepared, roster informed
45	13	Rs 93,600	72.1	Red	Next day not opened, restitution arithmetic published

10. Entry gates

Gate	Reason
Salary account linked	Mandatory on a stranger roster. Collection has to attach to a verifiable income stream
Minimum standing	A daily obligation leaves little room to recover from a missed payment
2 completed circles with a clean record	Behaviour on a monthly cadence is the only reliable predictor available

Gate	Reason
Identity verified to the highest level	The roster is drawn from members who do not know one another
Evidence of daily or near-daily income	A monthly salary does not support a daily instalment
Affordability assessed on the monthly figure	Rs 13,500 on Option 1, Rs 13,000 on Option 2
Exposure across all circles counted first	A hyper seat is assessed on top of everything already held
1 open default blocks entry	The product is closed to any member currently in difficulty

11. Daily operation and default controls

Step	Detail
Obligation opens	392 members on Option 1, 375 on Option 2, each assigned to one of that day's collectors. Those collecting that day do not owe
Reminder	Issued before the due time, not after it
Collection	Token mandate through the electronic money institution partner. The member may also send over Raast to their assigned collector
Grace	12 hours, fixed rather than derived from the cadence
Set off	A member collecting that day has their own contribution set off against the pot
Arrears on collection day	The late member's missed contributions are paid from their incoming pot to the members they left short
Payout	Each assigned payer's contribution reaches the collector directly as it is paid. The day closes when all are in or recorded as arrears
Stress index	Recomputed at the close of every day and shown to the host

Step	Elapsed after the due time	Penalty	Standing
Grace	0 to 12 hours	none	no change
First	12 hours	5%	less 20
Second	36 hours	10%	less 40
Third	60 hours	15%	less 60
Default after collecting	any	as above	less 200

A member restores their position by paying the arrears together with the penalty. At the third step a recovery case opens and new circles are locked. Contact routes to a recorded hardship statement, a waived fine and a revised date. Silence routes to restitution and then, as a last step, to a summary suit on the undertaking.

12. Revenue and cost on one cycle

Line	Option 1	Option 2
Fee per member per day	Rs 75	Rs 83.33
Fee revenue per cycle	Rs 1,500,000	Rs 845,000
Operator's commission at 15%	Rs 225,000	Rs 126,750
Gross revenue per cycle	Rs 1,725,000	Rs 971,750
Payment events in the cycle	20,000	10,140
Rail at 1.5 per cent on the token mandate	Rs 135,000	Rs 76,050
Payment cost at Rs 12.60	Rs 252,000	Rs 127,764
Net per cycle before default loss	Rs 1,338,000	Rs 767,936
Expected default loss at 5%, borne by the fund	Rs 150,000	Rs 84,500

Line	Option 1	Option 2
Net to Halqa, unaffected by that loss	Rs 1,338,000	Rs 767,936

The rail line assumes Halqa bears the partner's charge; it falls away if that charge is passed to the payer. The default loss falls on the risk fund rather than on Halqa, which is the point of the split. Cost per payment remains the dominant operating term, and the two changes that reduce it are collection over Raast at negligible cost and consolidating messaging into one daily send to the roster rather than one send per member per event.

13. Relation to the rest of the product

Point	Position
Deposits	No member money is held. The contribution settles member to member and the fee is a charge for services under the section 84 Explanation
Payment services	Halqa arranges collection through a licensed electronic money institution under para 7.I(f) and (h) of the Regulations for Electronic Money Institutions 2023, and holds no member's money at any point
Lending	Halqa advances nothing and computes no rate. The pot is other members' money moving on the day it is collected
Peer to peer	No member pays another member for position. The fee is flat and runs to Halqa
Insurance	Written by the licensed operator. Halqa is a registered agent and never an insurer, and charges no fee for distribution
Electronic money	No balance is issued and no funds are received
Association of more than 20 persons	Each member receives exactly what each member pays, so the arrangement has no object of gain
Sequencing	Offered after the standard product is proven, after the agent registration is in hand, and after counsel's

Point	Position
	opinion on compulsory cover